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Introduction to agency

LEARNING OUTCOMES

Studying this chapter should help you to:

- ✓ understand what is meant by 'agency' and 'agent' in commercial law usage
- ✓ appreciate the commercial and legal purpose of agency
- ✓ identify the sources of the law of agency in England & Wales
- ✓ be able to state how agencies are created
- ✓ distinguish between different types of agency
- ✓ be able to explain how agencies can be terminated (or not)

1. INTRODUCTION

You will be familiar with the doctrine of privity of contract from your previous study of the law of contracts. This is the rule that only persons who are parties to a contract may sue or be sued on the basis of that contract (see, for example, *Dunlop Pneumatic Tyre Co Ltd v. Selfridge & Co Ltd* [1915] AC 847). The rule is an important one, as it permits parties to determine with whom they will enter into contractual relations. It does, however, sometimes create inconveniences, especially in the commercial context. Two very important examples of this are stevedores and parties in construction contracts. Stevedores (who load and unload ships) may have a clause in their contract with the ship's operators to the effect that the stevedores will not be liable for damage (or limiting their liability) and the ship's operators may have a similar clause in their contract with the shipper (the person who owns the goods), but still the stevedores could find themselves sued in negligence by the shippers, because they are not both parties to the *same* contract. In construction contracts, subcontractors often have problems getting paid, and employers (the parties who commission the building) have problems suing for bad work done by subcontractors (these situations typically arise when the main contractor, with which the employer and the subcontractors each have contracts, goes into liquidation). Another situation where the doctrine is inconvenient is in trading at a distance – overseas or even just in another part of the country.

You will be aware that a number of ways have been found around these problems – stevedores typically benefit from a '*Himalaya* clause',[1] construction contracts are generally accompanied by collateral warranties (remember *Shanklin Pier Ltd v. Detel Products Ltd* [1951] 2 KB 854?), and we now have the Contracts (Rights of Third Parties) Act 1999 (the effects of which parties often expressly exclude in their contracts, because it can unexpectedly confer on third parties rights they never intended to confer on them). One of the most important ways around the problems caused by the privity rule is the doctrine of agency, which allows a person to make contracts *on behalf* of someone else, so as to bind that person into a contract with a third person.

Principals are the parties to a contract. An agent is a go-between, who makes the contract on behalf of one of the principals, with the other principal. An agent may act for a 'disclosed' principal, meaning that the second principal knows that s/he is an agent, or be acting for an 'undisclosed' principal, in which case the second principal does not know with whom they are really dealing and may in fact believe that the agent is the other principal. The two situations give rise to important differences in how the courts will act: where there is an undisclosed principal, not only can the undisclosed principal sue and be sued on the contract, but so can the agent; where the principal is disclosed, the agent is not able to sue or be sued on the contract made on behalf of the principal.

Thus, the two principals, who have not actually agreed anything between them, are bound into the same contract by the actions of the agent of Principal 1 making a substantive contract with Principal 2 (or, indeed, with an agent for Principal 2). (Incidentally, this is also the theory behind the *Himalaya* clause: see *The Eurymedon* [1975] AC 154.)

Principals are parties to the contract, while the agent is not (even though they made the contract). But where the agent does not disclose the existence of the principal at the time the contract is made, then both the agent and the principal on whose behalf they act can sue and be sued on the contract.

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[1] *Adler v. Dickson ('The Himalaya')* [1955] 1 QB 158. A typical *Himalaya* clause: 'It is hereby expressly agreed that no servant or agent of the carrier (including every independent contractor from time to time employed by the carrier) shall in any circumstances whatsoever be under any liability whatsoever to the shipper, consignee or owner of the goods or to any holder of this Bill of Lading for any loss, damage or delay of whatsoever kind arising or resulting directly or indirectly from any act, neglect or default on his part while acting in the course of or in connection with his employment and, without prejudice to the generality of the foregoing provisions of this clause, every exemption, limitation, condition and liberty herein contained and every right, exemption from liability, defence and immunity of whatsoever nature applicable to the carrier or to which the carrier is entitled hereunder shall also be available and shall extend to protect every such servant or agent of the carrier acting as aforesaid and for the purpose of all the foregoing provisions of this clause the carrier is or shall be deemed to be acting as agent or trustee on behalf of and for the benefit of all persons who are or might be his servants or agents from time to time (including independent contractors as aforesaid) and all such persons shall to this extent be or be deemed to be parties to the contract in or evidenced by this Bill of Lading.'

Agents can be anyone, but some people and companies make a business or profession out of acting as other people's agents. A 'commercial agent', for instance, goes about making contracts on behalf of principals and is paid by (usually) a 'commission' – a 'slice of the action', as they might put it in the movies. An estate agent, in the traditional sense of the manager of a landed estate, may act on behalf of the estate in granting tenancies, arranging work to be done, collecting rent and so on. If he is an employee then he is a servant rather than an agent, but if he is independent he may be a true agent. But someone who advertises houses for sale or let usually doesn't have the authority actually to execute the sale or lease and is not truly an agent, even though the sign over the door says 'Estate Agent'.

✓ **You should now understand what the concept of agency is in law, and what the law means by an agent**

✓ **You should also now appreciate the commercial and legal purpose of agency**

2. SOURCES OF LAW

The law on agency is mostly to be found, like most of the commercial law of England & Wales, in case law. There is some legislation relating particularly to agents, most obviously the Factors Act 1889 and the Commercial Agents (Council Directive) Regulations 1993. However, the Factors Act mainly affects aspects of sales law, and the Commercial Agents Regulations govern the relationship between self-employed commercial agents and their principals (for example, payment of commission) and do not concern us at this stage. In short, it is best to think of this as very much a case-based area of law.

✓ **You now know the main sources of law on agency**

3. CREATION OF AGENCY

There are four basic ways in which an agency can come into existence:

- by agreement;
- through ratification;
- ostensible or apparent authority and estoppel;
- necessity.

Let us look at each of these in turn.

3.1 Creation of Agency by Agreement

Agencies are very often created by a contract between principal and agent. However, an agency can be created by an agreement which is not a contract, for instance because the principal or the agent lacks capacity to contract (*Stevenson v. Hardie* (1773) Wm Bl 872) or because the agent is to act gratuitously (that is, there is no consideration): *Flemyng v. Hector* (1836) 2 M & W 172. Note that the agent's capacity to contract really does not matter at all, because when he makes contracts he does so on behalf of someone who *does* have the capacity to make the contract in question. So, for example, a minor (someone under 18 years of age) may act as the agent of someone of full age, to make contracts which would not be binding on a minor. Equally, a minor may appoint an agent, whether or not the agent has capacity to contract, to make a contract for necessaries (which are binding even on minors). But even if the agent has full capacity, the principal in this case would not be bound by a contract for non-necessaries, because the principal, as a minor, has no capacity to make such a contract. Also, there was a time when married women lacked contractual capacity, but that did not stop them acting as agents for their husbands, who did have contractual capacity.

Where an agreement exists to appoint an agent, we speak of an 'actual authority' vested in the agent, which may be express or implied. The point is well put in *Freeman and Lockyer v. Buckhurst Park Properties (Mangal) Ltd* [1964] 2 QB 480 at 504:

> An actual authority is a legal relationship between principal and agent created by a consensual agreement to which they alone are parties. To this agreement the [third party] is a stranger; he may be totally ignorant of the existence of any authority on the part of the agent. Nevertheless, if the agent does enter into a contract pursuant to the actual authority it does create contractual rights and liabilities between the principal and [the third-party].

No formalities are required at common law for the appointment of an agent, so the agreement may be written, evidenced in writing, or simply orally: see, for example, *Heard v. Pilley* (1869) LR 4 Ch 548 (but note the rules relating to commercial agents, which will be covered later).

Creation by agreement can, as stated above, be divided into express and implied authority.

3.1.1 Express Actual Authority

This is the most straightforward, and is the obvious way in which an agency is created with a commercial agent.

What the powers will actually be depends entirely on the words used by the principal in appointing the agent. It is in the interests of the principal to make sure these are clear and unambiguous, because he is likely to be bound by contracts made by the agent that the principal did not intend, if the agent has interpreted vague words in good faith. However, in most cases today, an agent would be expected to seek clarification (in times gone by, of course, we did not have rapid means of communication, so an agent was often 'on his own', so to speak; but there cannot be many circumstances today when an agent would be unable to contact the principal). If the agent fails to seek clarification, then s/he will not be able to rely on the vagueness of the instructions vis-à-vis the principal: *European Asian Bank v. Punjab &*

Sind Bank (No 2) [1983] 1 WLR 642. In the case where instructions are clear but erroneous, however, the principal will be liable to the agent on the basis of the contract actually made: *The 'Tzelepi'* [1991] 2 Lloyd's Rep 265.

3.1.2 Implied Actual Authority

We have already seen above an instance of agency created by implied authority: a wife's implied authority to pledge her husband's credit for household essentials. Other relationships can also imply authority; for example, the solicitor and client relationship generally involves an implied authority in the conduct of litigation to negotiate a settlement of the case: *Waugh v. H B Clifford & Sons* [1982] Ch 374.
Authority can also be implied from the **conduct** of the principal and agent.

3.1.3 Usual Authority

This is sometimes referred to as 'customary authority'. Strictly speaking, it is not a manner of creating an agency, but rather a doctrine concerning the authority conferred by the status of being an agent. All it means is that an agent has the authority such an agent would usually have, as explained by Willes J in *Watteau v. Fenwick* [1893] 1 QB 346 at 348: 'The principal is liable for all the acts of the agent which are within the authority usually confided to an agent of that character, notwithstanding limitations as between the principal and the agent, put upon that authority.'

An agent also has authority to act in accordance with any customs of a particular market in which the principal has authorized him to act: *Graves v. Legg* (1857) 2 H & N 210. The principal's ignorance of any such custom(s) is irrelevant, and he is bound in any event: *Cropper v. Cook* (1868) LR 3 CP 194. There are two big 'buts' to this:

1. A custom inconsistent with the terms of the agency or with the agent–principal relationship itself is not binding on the principal unless he knew of it: *Robinson v. Mollett* (1875) LR 7 HL 802.
2. If the principal does not know about the custom, then it must be one that is 'notorious, certain and reasonable'. So, it must be well known in the market, can be stated with precision, and must be reasonable – which includes being lawful: *Perry v. Barnett* (1885) 15 QBD 388. (This will probably ring a bell from studying contract law, if you covered implication of a term by 'trade usage'.)

3.2 Creation of Agency Otherwise than by Agreement

We have already seen that an agency can be created without a contract. However, agencies can also be created without any agreement at all. The main ways this can happen are 'ratification', 'ostensible authority' and 'agency of necessity'.

3.2.1 Ratification

A principal who has not given any authority to another person to enter into a contract on his behalf may nonetheless wish to adopt the transaction. This can be the case when an existing,

authorized agent enters into a contract which goes beyond his authority, but also when someone who has no authority to act as an agent at all makes a contract purportedly as agent of the principal in question. In circumstances where ratification is both possible and takes place, all parties are put in the position they would have been in if the agent had been duly authorized in the first place: it is said to 'relate back' to the time the contract was made, that is, to have retrospective effect: *omnis ratihabitio retrotrahitur et priori mandato aequiparatur*[2] (*Wilson v. Tumman* (1843) 1 Dow & L 513). This retrospective effect is important to remember because it has potentially important consequences. One of these is that if a third party (TP) makes an offer to the 'agent' (A) who, without authority, accepts it on behalf of the principal (P), and the offer is subsequently withdrawn by TP, TP will still be bound if P later ratifies: *Bolton Partners v. Lambert* (1888) 41 Ch D 295. It is right to mention that some doubt was thrown on this in the case of *Fleming v. Bank of New Zealand* [1900] AC 577, but it has never been overruled and it has since been followed, for example in *Owners of the 'Borvigilant' v. Owners of the 'Romina G'* [2002] EWHC 1759 (Admlty).

This does not apply, however, where the agent has accepted an offer 'subject to ratification' or the third party has notice of limitations on the agent's authority, because in this case the acceptance is not really an acceptance at all, and the subsequent 'ratification' is the real acceptance, so that the offer may be withdrawn at any time before that event: *Warehousing & Forwarding Co of East Africa Ltd v. Jafferali & Sons Ltd* [1964] AC 1.

There are three conditions which must be satisfied for ratification to be possible:

- the agent must purport to act for a named or identifiable principal;
- the principal must have actually existed and been ascertainable *at the time the contract was made*; and
- the principal must have the necessary capacity to make that contract.

(a) *Named or identifiable principal*

This speaks for itself, but note the consequence: an undisclosed principal cannot ratify a contract. A good example of how this rule works can be found in *Keighley, Maxsted & Co. v. Durant*.

KEY CASE

KEIGHLEY, MAXSTED & CO. V. DURANT [1901] AC 240

In this case, a corn merchant in Wakefield, called Roberts, was authorized by Keighley, Maxsted & Co (KM) to buy wheat at a certain price on a joint account for himself and them. Roberts did not manage to buy any at that price, but was able to buy some at a higher price from Durant, a corn merchant in London. Although he did not have authority from KM, he went ahead and purchased the higher priced wheat, but in his own name. The next day, KM ratified the transaction, but later it failed to take delivery

[2] Latin for 'every ratification relates back and is equivalent to prior authority'.

of the wheat. Durant brought an action against KM for breach of contract. The action failed, because Roberts had contracted in his own name, without mentioning that he was also acting for KM as joint principals. Any purported ratification by KM was therefore ineffective, and they were consequently under no contractual obligation to Durant.

(b) *Principal in existence and ascertainable at time contract made*

This really applies primarily to promoters of companies who enter into contracts for the benefit of the company before the company has actually been incorporated. The leading case is *Kelner v. Baxter* (1866) LR 2 CP 174, in which the promoters of an unformed company entered contracts on its behalf and argued that the company had ratified the contracts when it did come into existence, thus ending their personal liability. Willes J, rejecting the argument, said (at 184) that:

> Ratification can only be by a person ascertained at the time of the act done, – by a person in existence either actually or in contemplation of law; as in the case of assignees of bankrupts and administrators, whose title, for the protection of the estate, vests by relation.

Equity provides a way round the problem this rule creates for people trying to set up companies, in that the promoters can be treated as trustees for the company, but only if the company has made (or promised) payments to the promoter, and this works only in favour of the company. Similarly, and with greater simplicity, contract rights can be conferred on the yet-to-be company through the mechanism of the Contracts (Rights of Third Parties) Act 1999, but still this does not impose liability on the company, so that those making contracts with the promoters cannot sue the company itself. Clause 6 of the Companies Bill 1973 would have abolished the rule in *Kelner v. Baxter*, but it was lost when parliament was dissolved in February of 1974 and Labour returned to power after the ensuing general election – perhaps one of the more unfortunate effects of the miners' strike at that time.

(c) *Capacity*

The principal must have had capacity to enter the contract which the agent entered on his behalf, at the time the contract was made: *Firth v. Staines* [1897] 2 QB 70. So, to take an example already mentioned, if a person makes a contract purporting to act as agent for a minor, and the contract is not one binding on a minor, the minor cannot, on attaining majority, ratify that contract.

3.2.1.1 Some other rules…

There are a few other rules affecting ratification, concerning the when, the how and the what.

- Ratification must be timely.
- Nullities cannot be ratified.
- The principal must have full knowledge of the facts.
- Ratification can be by words or conduct but need not be communicated to TP.

(a) *Timeliness*

No contract can be ratified after the time has come when it was due to be performed: *Metropolitan Asylums Board v. Kingham* (1890) 6 TLR 217. If no time is fixed for performance, then ratification must occur within a 'reasonable time' of the principal having notice of the act: *Re Portuguese Consolidated Copper Mines* (1890) 45 Ch D 16.

A contract cannot be ratified, either, when *at the time of ratification* the principal cannot validly make such a contract: *Presentaciones Musicales SA v. Secunda* [1994] Ch 271, per Dillon LJ at 277 (citing the 'leading authority', *Bird v. Brown* (1850) 4 Exch 786). Insurance policies are a special case. The rule is that a principal cannot ratify an insurance policy executed without his authority once the subject matter of the policy has been destroyed, because, no longer having an insurable interest, he could not make such a contract himself at the time of ratification. But an exception exists for marine insurance policies: *Williams v. North China Insurance Co* (1876) 1 CPD 757.[3]

(b) *Nullities cannot be ratified*

A contract which is void in law (though not one which is merely voidable) cannot be made valid by ratification: *Danish Mercantile Co v. Beaumont* [1951] Ch 680 (though in this case the act was not held to be a nullity).

(c) *Ratification must be done with full knowledge of the facts*

The principal must have full knowledge of the relevant facts so that s/he can make a genuine decision whether to ratify or not: *Forman & Co Pty Ltd v. The Ship 'Liddesdale'* [1900] AC 190.

(d) *Manner of ratification*

Ratification can be by words or conduct, but in either case it *need not be communicated* to the third party: *Shell Co of Australia Ltd v. Nat Shipping Bagging Services Ltd (The 'Kilmun')* [1988] 2 Lloyd's Rep 1.

Ratification cannot be by an undisclosed principal, or a principal not in existence or lacking capacity at the time the contract was made, and it must be timely. Nullities cannot be ratified. The ratifying principal must have full knowledge of the facts. And ratification can be by words or conduct but need not be communicated to the third party.

3.2.2 Ostensible or Apparent Authority and Estoppel

Where, by words or conduct, a principal gives a third party the impression that someone has authority to act as his agent, then, even if he has not in fact authorized that person to act as his agent, or if he subsequently withdraws the authority without letting this be known to the third party/parties, that principal will become bound by contracts made by the agent. This doctrine is in fact based upon the principle of estoppel, and you will no doubt recognize in the

[3] And see s.86 Marine Insurance Act 1906.

rules relating to it features familiar from your study of promissory estoppel (*Central London Property Trust Ltd v. High Trees House Ltd* [1947] KB 130, et cetera). A classic instance of the operation of this doctrine is the case of *Summers v. Solomon*.

KEY CASE
***SUMMERS V. SOLOMON* (1857) 7 E & B 879**

In this case the defendant was the owner of the jeweller's shop. He did not run it personally but instead employed a manager, one of whose jobs was to purchase jewellery to sell in the shop. When he did this, the bills were passed to the defendant, who settled them. This manager left his employment, but the defendant failed to inform the plaintiff, who, believing the manager still to have the defendant's authority to do so, supplied the manager with a quantity of jewellery, with which he promptly absconded. The court held the defendant liable to pay because his past conduct led the plaintiff to think the manager had authority to pledge the defendant's credit, and the defendant had not informed the plaintiff of the change of position.

There are four ingredients needed in order for ostensible or apparent authority to arise:

- A representation must have been made that the person had authority to act as agent.
- The representation must be one of fact, not law.
- The representation must have been made by the principal to the third party.
- The third party must have relied on the representation.

Note, however, that even when these ingredients are all present, the authority may be vitiated where a forger has been held out as having authority to conduct the type of transaction in question: *Uxbridge Permanent Benefit Building Society v. Pickard* [1939] 2 KB 248. And even when the ingredients are *not* present, a principal may be estopped by his own subsequent conduct from denying the agent's authority if the third party has relied on that conduct: *Spiro v. Lintern* [1973] 3 All ER 319.

(a) *Representation of authority to act as agent*

There must be a representation, express (obviously) or implied (as in *Summers v. Solomon,* above), that the 'agent' has authority to act on behalf of the principal *as an agent*; that is, the third party must not be under the impression that the 'agent' is a principal, as in cases of undisclosed principals: *Farquharson Bros v. King & Co* [1902] AC 325. It is also a rule that the supposed agent's lack of authority has to be unknown to the third-party: *Armagas Ltd v. Mundogas SA (The 'Ocean Frost')* [1986] AC 717.

The inference of authority may arise from a course of dealing (as in *Summers*) or from what the third party knows of the relation between the agent and the principal, for example that they are partners (in the business sense), or that she is his wife, or whatever. A person employed in a particular position would be taken to have authority to conclude all such

transactions as a person in that position normally has authority to conclude: *The 'Ocean Frost'* [1986] AC 717.

(b) *Representation of fact, not law*
The representation must be one of fact, not of law. A misunderstanding by a third party as to the legal effect of some statement by the principal does not affect the contractual position, though it might give rise to a claim in restitution: *Kleinwort Benson Ltd v. Lincoln City Council* [1999] 2 AC 349.

(c) *Representation made by the principal to the third party*
A third party cannot rely on representations made by the agent himself or some other person: *The 'Ocean Frost'* [1986] AC 717, again. Ostensible authority arises purely from representations made by principals. A principal, however, may suggest, by words or conduct, that an agent has authority to make representations on his behalf, to communicate the principal's approval (*First Energy (UK) Ltd v. Hungarian International Bank Ltd* [1993] BCLC 1409) or to enter into certain types of contract, and in these circumstances it is irrelevant that the principal's instructions to the agent expressly forbid this: *United Bank of Kuwait v. Hammoud* [1988] 3 All ER 418.

Note that an agent's representation may serve to extend a pre-existing authority, but not *create* an ostensible authority.

Further, the representation must have been made to the third party or some class of persons including the third party, not just to the agent or to the world: *Dickinson v. Valpy* (1829) 10 B & C 128.

(d) *Representation must have been relied upon*
The representation must have induced the third party to enter into the contract: *The 'Ocean Frost'* [1986] AC 717. Obviously, this means that it is no good relying on, say, some document which he had not actually seen at the time the contract was made. The third party cannot get his way by sharp practice either. If he knows the true situation, that is, that the agent lacks the necessary authority, then he will not be able to establish ostensible authority. Nor will he be able to do so if he had the opportunity to discover the true situation but failed to take it (that is, the reliance must be reasonable): *Jacobs v. Morris* [1902] 1 Ch 816.

3.2.3 Agency of Necessity

Sometimes it is necessary for a person to make contracts for another's benefit, even if the other person has not given any authority at all. These cases fall within strictly limited categories, the most important of which relate to carriage of goods, particularly by sea.

In given circumstances a carrier or master may sell goods, mortgage the ship's keel (a contract known as 'bottomry') or pledge the owner's credit for other contracts. You may well remember the case of *Couturier v. Hastie* (1856) 5 HLC 673 from your study of contract law. That was a case where a sale of grain in transit in the Mediterranean Sea was held void for mistake, because the parties both believed the cargo existed, but in fact the master of the ship had sold the cargo at Tunis because the grain had begun to ferment. The master

(the captain) of a ship also has the right to make salvage arrangements for the shipowner: s.224(1) of the Merchant Shipping Act 1995 (the right is contained in Article 6(2) of the International Convention on Salvage 1989, which is given force of law by s.224(1) MSA 1995):

(a) The action was the only one practicable in the circumstances: *Prager v. Blatspiel, Stamp & Heacock Ltd* [1924] 1 KB 566. So a master faced with perishing goods has the right to dock at the nearest port and sell the goods for the best price he can get, as in *Couturier v. Hastie*.
(b) The carrier or master had no opportunity at the time to obtain instructions from the owner: *Springer v. Great Western Railway* [1921] 1 KB 257.
(c) The carrier or master acted honestly and in the interests of the owner.

✓ **You should now be able to explain how agencies can be created**

✓ **You should also now be able to distinguish the different types of agency**

4. TERMINATION OF AGENCY

In this final section of the chapter, we look at how agencies are terminated. The circumstances differ between consensual agencies – where the agent's authority is derived from the principal's consent – and those cases where the agent's authority arises by operation of law (such as ostensible authority). Finally, in some cases the agent's authority cannot be revoked at all, and we will look at these under the heading of 'non-terminable agencies'.

4.1 Termination of Consensual Agencies

Agencies created by contract are capable of being brought to an end in all the same ways that contracts generally are, such as by frustration. There are, however, a number of rules specific to agency and some applicable to 'commercial agents' in particular (we will look at 'commercial agents' in more detail in the next chapter). We shall deal here in turn with termination by performance (or otherwise by its own terms), notice, inconsistent conduct, due to insanity, by death or dissolution, by other cessation of business and by bankruptcy.

4.1.1 Performance

Where an agent has been appointed for a particular transaction or series of transactions, and the transaction(s) have been completed, the agency terminates automatically; the agent is said to be '*functus officio*': *Blackburn v. Scholes* (1810) 2 Camp 341.

A problem with this will immediately occur to you: an express or implied authority may have been 'executed' (that is, the job has been done), but the agent might continue to behave as if he still has authority to deal, creating an ostensible authority. If he

engages in such dealing, the principal will still be bound, so the principal will need to give suitable notice to the relevant third parties in order to terminate the agency for the future.

Some agencies are expressly created for a fixed period of time, and terminate once that period has elapsed. Where no time is expressly fixed, there may be a necessary implication that it will last for a given period or there may be some trade custom or usage, as in *Dickinson v. Lilwal* (1815) 4 Camp 279.

4.1.2 Notice

Consensual agencies being created by agreement, the parties can obviously agree to terminate them. An agency may also be determined unilaterally. The principal is at liberty to dismiss the agent (revoke his authority) by simply giving notice. Similarly, an agent can give notice of his renunciation of the agency. Such notice need not be in any particular form, such as a deed or other writing, even if the agency was originally created by such a document: *The Margaret Mitchell* (1858) Swab 382.

There may in individual cases be stipulations as to length of notice to be given. Where this is not the case, reasonable notice is required: *Martin-Baker Aircraft Co. Ltd v. Canadian Flight Equipment Ltd* [1955] 2 QB 556. (For commercial agents, the Commercial Agents (Council Directive) Regulations 1993 make a variety of stipulations as to the form and extent of notice of termination.)

As a general rule (there are some exceptions – see 4.3 below), a notice terminating a contract which is given in breach of contract still takes effect. So, the agent can bring an action for damages for breach of contract, but he cannot obtain an injunction to restrain the principal from terminating the agency in breach of contract. However, as well as claiming damages, an agent can also seek an injunction to enforce by any *negative* stipulations in the contract of agency; for example, that the principal will not use any other agent to carry on the business contracted for: *Decro-Wall International SA v. Practitioners in Marketing Ltd* [1971] 2 All ER 216.

☞ **A notice given in breach of contract is still effective to end the agency, except where the agency is non-terminable.**

4.1.3 Inconsistent Conduct

Acting in a manner inconsistent with the agency, such as where the principal sells whatever it is that the agent was engaged to sell, has the effect of terminating the agency: *E P Nelson & Co. v. Rolfe* [1950] 1 KB 139. If the agency has been created by contract, then this would be a breach of contract, but it would still amount to effective termination of the agent's authority.

4.1.4 Insanity

If either the principal or the agent, during the course of the agency, becomes insane, so that they are incapable of giving proper consent, then the agency is terminated. This is so

even where the agent does not know of the principal's insanity: *Yonge v. Toynbee* [1910] 1 KB 215.

4.1.5 Death or Dissolution

The death of either party brings an agency to an end, whether or not the other party is aware of the death: *Campanari v. Woodburn* (1854) 15 CB 400. In certain cases, however, an irrevocable power of attorney survives the death of the person granting the power (the 'donor'), where the donee has some interest, whether a proprietary interest or an interest in performance owed to the attorney (or 'donee'), where the interest continues to subsist after death: s.4 Powers of Attorney Act 1971.

Similarly, the dissolution of a partnership or company necessarily brings an agency to an end, since the party no longer exists. It is important to note, however, that where on the true construction of a contract for agency, the contract is with the partners for the time being in a firm and the firm continues in business, the agency is not automatically ended: *Salton v. New Beeston Cycle Co* [1900] 1 Ch 43.

4.1.6 Cessation or Transfer of Business

An agency can come to an end due to the closure or sale of the principal's business. In some cases, however, the agent will have the right to compensation for lost future commission. Whether this happens depends on the terms of the contract (express or implied). Two cases on either side of the line will illustrate the situation well.

The first case, *Turner v. Goldsmith* [1891] 1 QB 544, involved the employment of an agent by the principal who owned a shirt-making factory. There was an express term in the contract that the agency would last for five years. The principal's factory accidentally burnt down. The court held that the principal was obliged to pay the agent a sum representing the commission he would likely have earned until the expiry of the five years.

The second case, *Rhodes v. Forwood* (1876) 1 App Cas 256, concerned the engagement of an agent to sell coal produced at the principal's colliery. The agent had acted for the principal for four years when the principal sold the colliery and ceased to carry on business. In this case the court held that the principal was under no obligation to compensate the agent for loss of anticipated commission. The reasoning was that there was no term, express or implied, in the principal's contract with the agent, that the principal would continue in business, or that the agent would be employed for any particular minimum period.

4.1.7 Bankruptcy

The effect of bankruptcy depends on who becomes bankrupt. If it is the principal, the agent's authority is automatically terminated, though if there are mutual accounts between the agent and principal, those accounts are not affected unless and until the bankruptcy becomes known to the agent: *Elliott v. Turquand* (1881) 7 App Cas 79. If it is the agent, then his authority is terminated only if it renders him unable to perform his duties: *McCall v. Australian Meat Co Ltd* (1870) 19 WR 188. Of course, if by the terms of a contract governing the agency, the authority is to determine in the event of the agent's bankruptcy, then his continued fitness for duty is irrelevant to the continuance of his actual authority: the authority

is terminated. It is unclear whether this would affect his usual or ostensible authority, but it seems unlikely that it would, and that notice by the principal to third parties would be required.

4.2 Termination of Non-Consensual Agencies

The basic principle here is that notice to the agent will not suffice. The doctrines of usual authority and ostensible authority are based on the need to protect third parties who would reasonably believe the agent to have such authority, and the need to give them this protection in order that business might be efficiently conducted. Thus, although the principal's insanity terminates an agent's actual authority, it would not of itself terminate an apparent authority: the apparent authority would only be terminated upon the third party having notice of the principal's insanity: *Drew v. Nunn* (1879) 4 QBD 661.

Agencies of necessity are a slightly different case again. Generally speaking, agencies of necessity can be prevented from arising in the first place by giving notice to the potential agent. However, for policy reasons, this is limited where it is particularly desirable for the courts to encourage agents to act, as in the case of *Great Northern Railway Co v. Swaffield* (1874) LR 9 Ex 132. In this case, the owner of a horse entrusted to the railway company for transport had stated that he would not be responsible for the cost of feeding and stabling the horse. When he did not collect the horse once it had arrived at its destination, the railway cared for the horse and subsequently claimed its costs for feed and stabling. The court held (at 137, per Pigott B) that the railway was '… bound from ordinary feelings of humanity to keep the horse safely and feed him'.

4.3 Non-Terminable Agencies

There are three sorts of non-terminable agency: irrevocable or enduring powers of attorney; authorities coupled with interests; and where the agent is personally liable. The first does not really concern us in this book, as these types of powers of attorney tend to be granted in order to manage personal affairs rather than commercial transactions as such. But we need to look at the other two.

4.3.1 Agency Coupled With an Interest

Where an authority is granted by deed or for valuable consideration, and the purpose is to protect an interest which the agent has independently of the agency (in other words, not to secure his commission, for instance), then the authority is irrevocable, and the agency cannot be terminated prematurely: *Smart v. Sandars* (1848) 5 CB 895. It is necessary also that the agreement, on its true construction, is intended to create a non-terminable agency: *Re D & D Wines International Ltd (in Liquidation)*; *Bailey & Anor v. Angove's Pty Ltd* [2016] UKSC 47. Note that, since the purpose of the authority must be the protection of the agent's interest, this rule does not prevent the termination of an agency merely because the agent acquires an interest subsequent to the creation of the agency, nor where such protection arises merely incidentally.

Other examples of such agencies coupled with an interest include an agent being granted authority to collect rents due to the principal in order to secure a loan from the agent to the principal (see *Spooner v. Sandilands* (1842) 1 Y & C Ch Cas 390), and an authority to sell land belonging to the principal and deduct from the sale proceeds a sum owed by the principal to the agent: *Gaussen v. Morton* (1830) 10 B & C 731.

4.3.2 Agent Personally Liable

If, in execution of his authority, an agent has become personally liable, or is placed in a position wherein, if the agency is repudiated, he will suffer a loss (other than a mere loss of remuneration), the principal will not be permitted to revoke the authority. An example is that of the case of *Seymour v. Bridge* (1885) 14 QBD 460. In that case, an investor asked his stockbrokers to buy certain shares on his behalf. This was done for him, but he purported to repudiate the transaction on the grounds that there had been a failure to comply with the Banking Companies' (Shares) Act 1867, which there had been. Although this would have invalidated the purchase, the principal was deemed to be aware of a Stock Exchange custom whereby the brokers were obliged to complete the transaction or face expulsion and the court held that the authority was not revocable by the principal, who was bound to indemnify the brokers. This would not have been the case, however, if the principal had not been aware of the custom: *Perry v. Barnett* (1885) 15 QBD 388.

To have this effect, any such loss or liability must have been within the contemplation of the parties at the time of granting the authority: *Read v. Anderson* (1884) 13 QBD 779.

Finally, note that, of course, none of this applies where the contract entered into on behalf of the principal was actually illegal (not merely void).

✓ **You now know how agencies can be brought to an end (and that some cannot be brought to an end)**

In the next chapter we will look at the duties of agents and principals, including special rules about 'commercial agents'.

3
Agency: duties of agent and principal

LEARNING OUTCOMES

Studying this chapter should help you to:

- ✓ state what duties an agent owes to the principal
- ✓ state what duties a principal owes to the agent
- ✓ define a 'commercial agent'
- ✓ explain the special rules applicable between principals and 'commercial agents'

1. AGENTS' DUTIES AT COMMON LAW

Agents have duties at common law, and so-called commercial agents have duties laid down in legislation. We will look at commercial agents later in this chapter. Agents' duties at common law can be grouped into 'general duties' and 'fiduciary duties'.

1.1 General Duties

There are six general duties:

- to perform the contract;
- to be obedient to the principal;
- to exercise due care and skill;
- not to delegate;
- not to deny the principal's title;
- to account.

We shall now look at these in turn.

1.1.1 To Perform the Contract

Agency, as we have seen, generally arises out of agreement, typically a contract. The agent's duties, then, are primarily contractual. In *Turpin v. Bilton* (1843) 5 Man & G 455 an agent who contracted with his principal to arrange insurance of the principal's ship, but failed to effect a policy, was liable to the principal for breach of contract when the ship sank uninsured.

An agent is not, of course, liable for a failure to perform an illegal act, nor is he obliged to effect a contract which would be a nullity, such as to place a wager on behalf of the principal: *Cohen v. Kittell* (1889) 22 QBD 680. (A wagering contract is no longer a nullity merely by reason of being concerned with gambling, thanks to ss.334 and 335 of the Gambling Act 2005, but it was a nullity at the time of *Cohen v. Kittell*.)

In the absence of a contract (for example, in the case of a gratuitous agency) there is no liability for non-feasance (not performing the contract at all) since the obligation to perform arises from contract: *Coggs v. Bernard* (1702) 3 Ld Raym 163. An agent is, however, still liable for *misfeasance* (that is, carrying out the agreed act(s) wrongly, causing loss to the principal) in the absence of a contract, as where a gratuitous agent did indeed effect a policy of insurance but failed to have the policy indorsed for the principal's benefit, with the result that the principal could not take the benefit of it: *Wilkinson v. Coverdale* (1793) 1 Esp 74. The liability is for negligence and is an exception to the rule against recovery of pure economic loss in an action for negligence.

1.1.2 To be Obedient to the Principal

It is a general principle that an agent must act in accordance with the terms of the authority granted by the principal: that is to say, to act in accordance with his express authority. Where the agent has no detailed instructions, he must act according to the general nature of his business, that is, in accordance with his implied authority (see Chapter 1). Additionally, unless the principal has expressly forbidden it, the agent may act in any way within the customs and usages of the market in question, that is, in accordance with his usual authority: *Cunliffe-Owen v. Teather and Greenwood* [1967] 3 All ER 561.

The agent is under a general duty to act for the principal's benefit, but this does not mean he may disregard the principal's express instructions. For example, a broker instructed to buy shares at the opening of the market was not entitled to wait until he could consult the principal's usual jobber on the wisdom of the purchase, even though this might well have been in the principal's interest: *Volkers v. Midland Doherty Ltd* (1985) DLR (4th) 343.

An agent is not, of course, required by the duty of obedience to enter into an illegal contract or in any other way to act unlawfully, as is shown in the case of *Bexwell v. Christie* (1776) 1 Cowp 395, in which an auctioneer was not liable to the original owner of goods disposed of at auction at a price lower than that at which the owner was prepared to sell. The auction was a sale without reserve and the auctioneer was obliged by law to sell to the highest bidder.

1.1.3 To Exercise Due Care and Skill

This is really no more than not being negligent. The duty to exercise due care and skill is the central contractual duty of, for instance, the solicitor or the (privately engaged) doctor: the solicitor does not guarantee victory in litigation, nor does the surgeon guarantee the success of the operation, but both must exercise due care and skill.

It would seem to be the case that a contractual agent who fails to act with due care and skill is liable to the principal both for breach of contract and in the tort of negligence. There was a time when the courts took the view that where a contract regulated the parties' relationship then action could not be taken on the basis of tort: see especially *Bagot v. Stevens, Scanlon & Co Ltd* [1966] 1 QB 197; but the courts seem to have moved away from this position: see,

for example, *Esso Petroleum v. Mardon* [1976] 1 QB 801 (which you will no doubt remember from studying contract law, as it is a leading case on misrepresentation) and *Midland Bank Trust Co Ltd v. Hett, Stubbs and Kemp* [1979] Ch 384.

The standard of care of the contractual agent is generally speaking that of the normally competent and careful agent conducting the sort of business in question: *Lambert v. Heath* (1846) 15 M & W 486.

A gratuitous agent used to be in a different position from one acting for reward. At one time the law was that the gratuitous agent must act with that degree of care and skill that he usually exercised in the conduct of his own affairs, so that a principal who chose a habitually careless and incompetent agent had only himself to look to if something went wrong. In *Shiells v. Blackburne* (1789) 1 Hy Bl 158, the defendant, acting gratuitously, deposited a parcel belonging to the claimant at Customs at the same time as he deposited one of his own. Due to a mistake on the defendant's part, both parcels became liable to forfeiture and were seized. Since the defendant had exercised exactly the same degree of care, or rather lack of care, in respect of his own and the plaintiff's goods, he was held not to be liable to the plaintiff.

This created an anomalous situation, in that an objective standard of care was applied to an agent acting for reward, but a subjective standard to a gratuitous agent. However, in *Chaudhry v. Prabhakar* [1988] 3 All ER 718 the Court of Appeal held that the standard expected of any agent is an objective one, namely that standard 'which may be expected of him in all the circumstances' (at 721, per Stuart-Smith LJ). All relevant circumstances are to be taken into account, including any profession by the agent to particular skills or knowledge and whether or not he acted for reward. If an agent acting for reward belongs to a particular profession or trade then the standard will be that of a competent person of that profession or trade. Stuart-Smith LJ elaborated thus (at 721):

> Relevant circumstances would be the actual skill and experience that an agent had, although, if he has represented such skill and experience to be greater than it in fact is and the principal has relied on such representation, it seems to me to be reasonable to expect him to show that standard of skill and experience which he claims to possess.

So, the current state of the law on this seems to be that both agents acting for reward and gratuitous agents are held to the *same* standard of care.

1.1.4 Not to Delegate

In *Allam & Co. Ltd v. Europa Poster Services Ltd* [1968] 1 All ER 826 at 832, Buckley J said this:

> The relation of an agent to his principal is normally at least one which is of a confidential character and the application of the maxim *delegatus non potest delegare*[1] to such relationships is founded on the confidential nature of the relationship. Where the principal reposes no personal confidence in the agent the maxim has no application, but where the principal does place confidence in the agent that in respect of which

[1] Latin for 'a delegate does not have the power to delegate'.

> the principal does so must be done by the agent personally unless either expressly or inferentially to employ a sub-agent or to delegate the function to another.

This does not mean that an agent cannot use anybody else and must necessarily carry out the entire transaction personally, as Buckley J went on to explain (still at 832):

> If the agent personally performs all that part of his function which involves any confidence conferred on him or reposed in him by the principal it is, in my judgment, immaterial that he employs another person to carry out some purely ministerial act on his behalf in completing the transaction.

In fact, in that case the defendant company, the plaintiff's agent, had instructed its solicitors to serve certain notices, and so had delegated the task to a sub-agent. However, a limited company has no choice but to act via an agent, and Buckley J took the view that it did not matter whether in this case the notices were sent out via the Company Secretary or via the company's solicitor: the company, through its directors, made the relevant decisions.

In any event, an authorized delegation by way of express actual authority, implied actual authority, or usual authority, or where the transaction is subsequently ratified by the principal, is not a breach of the duty to act personally.

1.1.5 Not to Deny the Principal's Title

An agent cannot set up his own title to land, goods or money held on behalf of his principal, and the agent's possession is the principal's possession: *Dixon v. Hamond* (1819) 2 B & Ald 310. This applies even if the agent is in fact entitled to the property. But – and it is a big 'but' – an agent may refuse delivery to his principal on the basis of a third party's claim to the property (this is called a plea of *jus tertii*): *Biddle v. Bond* (1865) 6 B & S 225.

1.1.6 To Account

This simply means that the agent must hand over to the principal any monies he has received on behalf of the principal. This duty is absolute, even if a third party has a claim to money from the agent or the principal, and even if the principal owes the agent money: *Heath v. Chilton* (1844) 12 M & W 632. It does not even matter if the contract under which the agent received the money from a third party was in itself void or illegal: *De Mattos v. Benjamin* (1894) 6 LJ QB 248.

The only situations where no duty to account arises are where the agent has been obliged to return the money to the person he got it from (for example, where a contract is void for mistake) and where the contract of agency itself was illegal: *Harry Parker Ltd v. Mason* [1940] 2 KB 590.

1.2 Fiduciary Duties

You will be relieved to know that there are just two of these! They are:

- the duty of fidelity;
- the duty not to make secret profits.

1.2.1 Fidelity

This duty has two main facets. The first is that an agent must disclose any personal interest he has which might affect the performance of his duties. He must disclose enough information to the principal to allow the principal to make a properly informed decision as to whether he still wishes the agent to act in the transaction: see, for example, *Ocean City Realty Ltd v. A & M Holdings Ltd* (1987) 36 DLR (4th) 94. A typical example is where the agent is engaged to sell some property of the principal which the agent then buys for himself or for someone close to him. A good example is the case of *McPherson v. Watt* (1877) 3 App Cas 254, in which the agent acted for two women in the sale of their house. He bought it in the name of his brother, though he really bought it for himself. The court refused specific performance of the sale contract. It will not help the agent to claim that the contract was a fair and reasonable one: *Armstrong v. Jackson* [1917] 2 KB 822; nor can the agent allege a trade custom permitting the transaction: *Robinson v. Mollett* (1875) LR 7 HL 802. Another important example is where the agent acts for both sides. This is not objectionable in itself, but the agent must make absolutely clear that this is what he is doing: *Fullwood v. Hurley* [1928] 1 KB 498.

The second facet relates to use of knowledge gained as a consequence of acting as agent, for example customer lists, in order to compete with the principal after the termination of the agency (or employment). This is forbidden: *International & Scientific Communications Ltd v. Pattison* [1979] FSR 429. This is a cloudy area, however. In the memorably named case of *Faccenda Chicken Ltd v. Fowler* [1987] Ch 117, the defendant, Mr Fowler, had been an employee of the plaintiff, who was in the business of delivering oven-ready chickens. Mr Fowler had knowledge of all the customers, their usual requirements and what they paid. After leaving the plaintiff's employment, Mr Fowler set up in competition, undercutting the plaintiff. The plaintiff sued to enforce a restraint of trade clause, which was struck down by the court as being too extensive. The court held that Mr Fowler was entitled to use the expertise and knowledge that he carried in his head, even though he would not have been entitled to use actual lists carried away from the plaintiff. This seems very like a breach of the duty of fidelity. It is not clear where the line should be drawn between confidential knowledge belonging to the principal or employer, and expertise acquired by the servant or agent. The relationship of the duty of fidelity owed by current and former servants and agents to employers and principals to the law on restraint of trade seems not to have been satisfactorily explored yet.

1.2.2 Not to Make Secret Profits

A secret profit is any profit derived by the agent as a result of his acting for the principal, other than the remuneration he receives from the principal. An agent taking a bribe, for example, makes a secret profit. But it does not necessarily involve any fraud or corruption. In the leading case of *De Bussche v. Alt* (1878) 8 Ch D 286, an agent had been given the task of selling a ship in Japan. He could not find a buyer at the price specified by the principal and so bought the ship himself. He was later able to sell the ship at a profit, but he was held liable to account for that profit to the principal. It simply does not matter how the agent makes the secret profit; it is always in breach of his fiduciary obligations to do so and he must always account for such profits: *Boardman v. Phipps* [1967] 2 AC 46.

✓ **You can now state what duties an agent owes to their principal at common law**

1.3 Principal's Duties at Common Law

The principal's duties at common law are simpler than the agent's duties, there being just two: to remunerate (except, obviously, in the case of a gratuitous agent) and to indemnify.

1.3.1 The Duty to Remunerate

The duty to remunerate arises from contract or at least agreement. The nature of the duty is not problematic – most disputes arise over whether remuneration was intended at all or if the agency was intended to be gratuitous instead. The substance of the duty is not, in itself, problematic. Such cases turn on the construction of any words used by the parties or else on interpretation of the circumstances: *Way v. Latilla* [1937] 3 All ER 759. If no agreement is found as to the amount or basis of remuneration intended, then the agent is entitled to a *quantum meruit*: *Withy Robinson v. Edwards* (1985) 277 EG 748.[2] If, however, it can be shown that a commission basis of remuneration was intended, then the remuneration awarded will be a commission at a customary rate: *Lewis and Graves v. Harper* (1978) 250 EG 1287.

The principal, however, only has to pay a remuneration agreed upon if the agent actually earns it. So the agent must be able to show that the desired result was achieved, and that the agent's activities were the cause of the transaction being completed and not merely incidental to it. This is a question of fact: *Green v. Bartlett* (1863) 14 CBNS 681. It is also clear from *Green v. Bartlett* that the agent need not actually effect the transaction, but need only be the *cause* of it being effected (at 685, per Erle CJ). Note that it is not necessary that the transaction actually benefited the principal, so long as the agent has done what he agreed to do and the lack of benefit to the principal did not arise from some failing on the part of the agent: *Fisher v. Drewett* (1879) 48 LJ QB 32.

An agent will not be able to recover remuneration if the transaction entered into was illegal and he knew it: *Haines v. Busk* (1814) 5 Taunt 521. Nor will he be able to recover if he effects a transaction in an unauthorized way, unless there is a custom that he can recover commission nonetheless, and the principal knew of this custom: *Marsh v. Jelf* (1862) 3 F & F 234. An agent also cannot recover remuneration when negligent or in breach of other duties, like the duty not to make a secret profit: see, for example, *Salomons v. Pender* (1865) 3 H & C 639. If, however, any such wrongdoing can be separated off from the rest of the agent's behaviour, and the agent has not acted fraudulently, commission may still be recoverable: *Hippisley v. Knee* [1905] 1 KB 1.

1.3.2 The Duty to Indemnify

An agent has a general right to be indemnified by the principal for any losses, liabilities and expenses incurred in carrying out his instructions. (An 'indemnity' is where one person is

[2] A *quantum meruit* is an amount which is reasonable in the circumstances – a fair rate for the job, as it were.

obliged to cover another person's expenses or losses.) Sometimes there will be express agreement on this matter, perhaps in a written contract, but usually the right is implied and the extent of the principal's duty to indemnify will depend on the circumstances and the nature of the transaction: *Adams v. Morgan & Co* [1924] 1 KB 751.

The right to indemnity may be lost in the same way as the right to remuneration:

- where the transaction is illegal;
- where the contract of agency is illegal;
- where the agent is negligent or in breach of one of the other duties owed to the principal.

The duty to indemnify may be excluded by a contractual term. If there is no contract then the existence and extent of the principal's duty will depend upon the agent having acted within his express, implied or usual authority: *Barron v. Fitzgerald* (1840) 6 Bing NC 201.

You can now state what duties a principal owes to their agent at common law

2. COMMERCIAL AGENTS

Since 1 January 1994 English law has hosted a Continental import in the shape of the 'commercial agent', a self-employed intermediary acting under agreement for remuneration. (Though the Factors Acts recognized a similar figure in the person of the 'mercantile agent'.) The EU, looking upon the commercial agent as an oppressed and vulnerable person, passed a directive requiring member states to adopt regulations to govern the relationship and give particular protections to such parties. In Britain this resulted in the Commercial Agents (Council Directive) Regulations 1993, which came into force on 1 January 1994. Since Britain's departure from the EU, these regulations have the status of retained EU law under s.25 European Union (Withdrawal Agreement) Act 2020. It seems unlikely that repealing or replacing the regulations will be seen as a legislative priority, so they are likely still to be with us for some time.

2.1 Commercial Agents' Regulations

2.1.1 Definition

Regulation 2 principally comprises a definition of 'commercial agent'. The relevant material reads as follows:

> 2 (1) In these Regulations –
> 'commercial agent' means a self-employed intermediary who has continuing authority to negotiate the sale or purchase of goods on behalf of another person (the 'principal'), or to negotiate and conclude the sale or purchase of goods on behalf of and in the name of that principal…

The regulation states that the definition particularly excludes officers of companies, partners authorized to act on behalf of other partners, and insolvency practitioners. Further, certain other persons who are technically commercial agents are not covered by the regulations (reg. 2(2)), namely gratuitous agents, commercial agents when they operate on commodity exchanges or in the commodity market, and Crown Agents for overseas territories and their subsidiaries. Also, where activities carried on which would make a person a commercial agent are merely secondary or ancillary to the main functions of their engagement, the Regulations do not apply (reg. 2(3) and see *Crane v. Sky In-Home Service Ltd* [2007] EWHC 66 (Ch)). A common example of the technicality that can arise around a question of whether a party counts as a commercial agent is whether they have the authority to *negotiate* on behalf of the principal, not merely conclude contracts on its behalf (see *Crane*, above).

A good example of the strictness with which definitions can be applied can be found in *W Nagel (a Firm) v. Pluczenik Diamond Co NV* [2018] EWCA Civ 2640. In this case the agent had been engaged to buy rough diamonds on behalf of the principal from DeBeers through what are known as 'sights' (these are organized sales). DeBeers is not just a seller of diamonds, however: it has what amounts to a global monopoly on rough diamond sales. The Court of Appeal held that DeBeers sights amounted to a commodity market and therefore the agents did not fall within the regulations.

'Self-employed' is, however, interpreted rather more loosely. The status of commercial agent is not restricted to people who are actually self-employed. A limited company can be a commercial agent. The crucial point of this is that someone who is an employee *of the principal* and acts like an agent is not a commercial agent for the purpose of the Regulations. Also, a 'distributor' is not a commercial agent, either. So, if a business wishes to have representation in a particular market without being governed by the Regulations, the main alternatives are either employing representatives or else entering into a distributorship agreement: a distributor is engaged on its own behalf, not on behalf of the manufacturer whose goods it distributes.

Note, particularly, that commercial agents are only agents for the sale and purchase of *goods*. Agents making any other kinds of contract are not commercial agents within the meaning of the Regulations and the Regulations do not apply to them. Furthermore, the Regulations only apply where the commercial agent's activities take place in Great Britain, and even parties operating wholly within Britain can avoid the application of the Regulations by providing that their contract is to be governed by the law of another state.

A commercial agent is only an agent for the sale and purchase of GOODS – other kinds of commercial negotiation and representation do not fall within the definition.

As a consequence of these limitations, whole swathes of the common law of agency are left untouched. This means that sometimes when a claim is made in the courts for compensation for termination (see below) of a commercial agency, the court finds that the agent is not a commercial agent, but goes on to make an appropriate award of remuneration for an agent under common law.

The specific provisions of the Regulations will be considered further in this section, while more general common law rules as to the respective duties of agents and principals will be considered later in this chapter.

✓ **You can now define a 'commercial agent'**

2.1.2 Duties of Commercial Agent and Principal

Regulation 3(1) requires a commercial agent to 'look after the interests of his principal and act dutifully and in good faith'. These Regulations, then, add to the small but growing trend towards a requirement of good faith in English law. Generally speaking, English law does not require people to deal in good faith. The main exceptions up to now have been contracts *uberrimae fidei* ('of the utmost good faith'), generally insurance contracts.

Regulation 3(2) is more specific. The agent must 'make proper efforts to negotiate and […] conclude the transactions' he is instructed for, make sure that the principal is properly informed and comply with the principal's reasonable instructions.

The principal, too, has – under Regulation 4 – a duty to be 'dutiful' (which presumably means to carry out its specific duties under the regulations and under the contract of agency) and to act in good faith. Specific duties of the principal are to supply the agent with all necessary documentation relating to the goods concerned (reg. 4(2)(a)), as well as the following:

1. To obtain all necessary information and communicate it to the agent (reg. 4(2)(b)).
2. To give reasonable notice to the agent if the volume of transactions is anticipated to be significantly lower than the agent could normally expect (reg. 4(2)(b)).
3. To give timely notification to the agent of any decision to accept or decline to execute any transaction procured by the agent (reg. 4(3)).
4. To pay commission promptly, that is, not later than the last day of the month following the quarter in which the commission became due (reg. 10(3)).
5. By the same date, to provide a statement of commission due, including the main components used in calculating the commission.
6. To supply to the agent, if demanded, all information, including extracts from the principal's books, necessary to allow the agent to check the amount of commission due to him.

The parties may not derogate from 1 to 4 above (reg. 5(1)). Any agreement to derogate from 5 is void if it is to the detriment of the agent (reg. 10(4)). Any agreement to derogate from 6 and 7 is void in any case (reg. 12(4)).

Both sides are entitled, on request, to a signed written statement from the other as to the terms of the agency (reg. 13(1)) and any agreement to derogate from this is void (reg. 13(2)).

The terms of 4 seem a little odd, because it appears to conflict conceptually with the common law notion of an agent. An agent with actual authority, which a commercial agent covered by these Regulations would clearly have, can execute a contract on his principal's behalf. It is

clear that the Regulations' notion of an agent covers mere commercial go-betweens who are not really agents at all.

The remainder of the provisions in the Regulations relate to calculation of remuneration and what is to happen in the event of termination.

2.1.3 Calculating Remuneration

The parties are free to agree by contract on what terms the agent will be remunerated. The usual way of remunerating any agent is by 'commission', which means a percentage of the value of deals the agent has brought to the principal. But an agent could be rewarded by being paid a fixed fee per month, for example. If the contract is silent on the question of remuneration (which surely cannot be a common occurrence), the Regulations state that the agent will be entitled to a commission. How much that commission will be (if not stated in the contract) will be worked out in one of two ways: (1) whatever is customary for agents for the types of goods in question in the territory in question; or (2) if there is no applicable custom, whatever the court deems reasonable (reg. 6).

Regulations 7 to 12 deal with technicalities surrounding the actual making of payments (we have already mentioned reg. 10 on the timing of payments), apportionment where there is a changeover between one agent and another, information to be supplied and special circumstances where the right to commission can be extinguished.

2.1.4 Termination and Compensation

This is probably the most important part of the Regulations, in the sense that contracts are likely to deal with most matters relating to remuneration, while other provisions of the Regulations are also likely to be provided for in the contract or else are not really dissimilar to common law duties. The rules surrounding termination, however, are much less obvious and certainly give rise to disputes. Even the language used is potentially misleading, at least to the English lawyer. 'Compensation', to common lawyers, generally means payment for a wrong done. Compensation in the Regulations is payable in circumstances where it would be hard to see anything improper in the principal's behaviour. 'Indemnity' in the Regulations is nothing at all to do with 'indemnity' in the usual sense of the word.

When it comes to termination, it is obvious that this might be for a variety of reasons:

- a fixed-term agency has come to its end;
- an agency contract for an indefinite period is terminated by notice;
- the agency has been terminated by the principal for good cause;
- the agency has been terminated by the agent for good cause;
- the principal or agent has died or become insolvent or otherwise ceased trading;
- the agency has been wrongly terminated.

Any one of these reasons for termination can potentially give rise to the agent having a right to 'compensation' or 'indemnity' – yes, even the contract simply coming to the end of its term, as originally agreed. This means that the two most important bits of the Regulations are reg. 2 – if the agent is not a 'commercial agent' within the meaning of the Regulations,

then none of this is a problem, as the Regulations do not apply – and reg. 17, which deals with the matter of compensation or indemnity. Regulations 14 to 16 involve the termination (or not) of the agency – the thing that may give rise to the rights in reg. 17. We have already dealt with reg. 2, so the remainder of this section, and chapter, will mainly deal with regs 14 to 17 inclusive.

2.1.4.1 Termination

A commercial agency for a fixed term will end when the term comes to an end, unless both parties carry on performing. In this case, the agency will automatically convert into an indefinite agency contract: reg. 14. With an indefinite agency – including one that used to be a fixed term agency – either party can terminate by giving notice. The notice period can be agreed in the contract but there are some minimum periods: one month in the first year, two months in the second year, and three months after that: reg. 15(2). The parties can agree a longer period of notice, but the agent can never be required to give longer notice to terminate than the principal: reg. 15(3). If the contract started out as a fixed term agency and then converted into an indefinite one, the fixed term is added into the calculation: reg. 15(5). So, for example, where A and B agree a fixed term of two years and then, after the two years are over, they just carry on as before, the agency will become an indefinite one, with a minimum three-month notice period. Unless otherwise agreed, the notice period has to expire at the end of a calendar month. There is an exception in reg. 16, which allows for immediate termination where 'any enactment or rule of law' provides for immediate termination, but only for two reasons: (a) where one party fails to carry out its contractual obligations; or (b) for exceptional circumstances (whatever they might be). Regulation 20 imposes restrictions on restraint of trade clauses – these are clauses where a former employee or contracting party is restricted from carrying on business after termination of the employment or other contract. An example of this might be a clause saying that an employee may not within three years of the end of the employment contract work for another company in the same line of business within ten miles of the former employer. There are common law rules about these clauses, in any event, which apply over and above the provisions of reg. 20 (you may have covered these in contract law – essentially, clauses in restraint of trade are regarded as contrary to policy and have to be quite limited in order to be upheld). Regulation 20(2) places a long-stop of two years on such clauses in respect of commercial agents, while reg. 20(1) requires such a term to be in writing and limited both geographically (same area as the agency) and to the same kind of goods as were dealt with under the agency.

2.1.4.2 Payment of Compensation or Indemnity

Unless the agency is terminated by the principal for reasons which would fall within the rules of reg. 16 – the right to immediate termination – or else the agent has terminated (other than for specified reasons – that is, because of some fault of the principal, or because the agent has become old or infirm or ill and cannot continue), then the agent is in many cases entitled to a termination payment. This can take the form of 'compensation' or 'indemnity' (remember, we noted that this does not mean what we common lawyers would normally mean by these terms). The default position is that 'compensation' is payable. The parties can

agree that an indemnity be payable instead, but they have to have agreed that expressly in the contract.

Regulation 17 sets out the rights to payment in considerable detail and it would be a waste of ink and paper just to repeat it here in different words. Essentially, the agent has one year from the termination of the agency to notify the principal of his intention to seek compensation or indemnity. If he does so, then compensation involves the calculation of damages reflecting the agent's loss where the termination means that the agent will lose the commission he would have earned from the proper performance of the agency. Alternatively, if the principal has advised the agent to spend money in performing the contract (for example, taking premises, buying advertising space, taking stalls at trade fairs) and the agent has not had long enough to get that money back (known as 'amortizing' expenses), then the compensation can cover this. If the parties have agreed to indemnity instead of compensation, then a fair amount is payable provided the agent has brought new customers or has significantly increased the principal's business with existing customers, and the agent has lost commission by reason of the termination.

An obvious way to calculate the damage of the loss of business is to work out how much the agent would likely have been able to sell his agency business (with that principal – not his entire business, which might involve representing multiple other businesses) to someone else – or, to put it another way, the value of the 'goodwill' of the agent's business as regards that particular principal, assuming that a new agent could take over the business and carry it on as normal. This was the approach taken in the leading case of *Lonsdale (t/a Lonsdale Agencies) v. Howard & Hallam Ltd*, which also held that European law envisaged that the method of calculation would be up to individual member states, where market conditions might vary considerably.

KEY CASE
***LONSDALE (T/A LONSDALE AGENCIES) V. HOWARD & HALLAM LTD* [2007] UKHL 32**

Graham Lonsdale was a commercial agent in the shoe trade. In 1990 the defendant company, who were shoe manufacturers in Leicester, appointed him as their agent to sell their 'Elmdale' brand in South East England. A few years later, he was also appointed by a German company to sell their shoe brand over a slightly larger territory.

Sales of the Elmdale brand fell year on year, taking Mr Lonsdale's commission from £17,000 in 1997/8 to just £9,261 in 2002/3, while his commission from the German company rose and accounted for about two-thirds of his income by 2000. In 2003 the claimant's agency was terminated on six months' notice and the defendant ceased trading.

Mr Lonsdale was entitled to compensation under reg. 17(3) of the Commercial Agents (Council Directive) Regulations 1993, but the two parties could not agree on how much. Howard & Hallam paid Mr Lonsdale £7,500 but he was not satisfied and brought proceedings in the county court seeking a larger payment. The judge assessed the appropriate figure for compensation as £5,000, and the Court of Appeal upheld that decision. The claimant appealed to the House of Lords, arguing that the

Directive, which in Britain gave rise to the Regulations, had adopted French practice and that it was common practice for French courts to value agencies by taking the average annual gross commissions over the previous three years and then doubling that sum.

Held – The appeal would be dismissed. The courts of the United Kingdom would not be acting inconsistently with the directive if they were to calculate the compensation payable under reg. 17(3) by reference to the value of the agency on the assumption that it continued: the amount which the agent could reasonably expect to receive for the right to stand in his shoes, continue to perform the duties of the agency and receive the commission which he would have received. The provisions of reg. 17(3) said that what the agent was entitled to be compensated for was the damage which he suffered from the termination. Different approaches to calculating that amount could be taken in different countries, because commercial conditions varied from one country to another.

The difference between compensation and indemnity is that in the case of compensation the damage is 'deemed' to have occurred and the amount is unlimited, whereas with indemnity the improved business has to be demonstrated; and that an indemnity payment is equitable in all the circumstances, and the payment is limited to no more than one year's average commission (there is provision about how to calculate this). Note that the indemnity may be less than one year's commission but cannot be more than that. Unsurprisingly, law firms tend to advise clients engaging a commercial agent to make for provision of an indemnity instead of compensation, as it is not so readily claimed by the agent and has a maximum cap.

✓ **You can now explain the special rules applicable between a principal and a 'commercial agent'**